APPRAISAL REPORT

Westgate Station District | Kansas City, MO

Subject Property	Westgate Station District
Address	8289 Quarry Lane, Kansas City, MO 84603
Property Rights Appraised	Fee Simple
Effective Date of Value	November 9, 2022
Market Value Conclusion	$85,250,000

Demographics and Employment

Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 2-mile radius of the property is approximately $105,000 and has grown 4.4% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The Kansas City Mixed-Use market has experienced absorption of 4300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Median household income within a 2-mile radius of the property is approximately $379,000 and has grown 2.0% annually. The property is walkable to transit, with 38 structured parking spaces shared between uses. Westgate Station District is located in Kansas City, MO, a market that has recorded 10.2% population growth over the last five years. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Market vacancy for comparable Mixed-Use product stands at 13.3%, down from 6.5% two years ago. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 36 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 48.48 acres and is generally level with frontage along Quarry Lane. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Access to the site is provided by 13 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 24.24 acres and is generally level with frontage along Quarry Lane. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Demographics and Employment

The Kansas City Mixed-Use market has experienced absorption of 3300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Mixed-Use product stands at 3.1%, down from 3.5% two years ago. The property is walkable to transit, with 19 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

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Demographics and Employment

Investor demand for Mixed-Use assets in Kansas City remains strong with recent trades at capitalization rates between 8.16% and 8.16%. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Median household income within a 8-mile radius of the property is approximately $275,000 and has grown 7.3% annually. Westgate Station District is located in Kansas City, MO, a market that has recorded 6.2% population growth over the last five years. Market vacancy for comparable Mixed-Use product stands at 13.7%, down from 4.8% two years ago.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 7.8% annually over the past 6 years. Westgate Station District is located in Kansas City, MO, a market that has recorded 9.1% population growth over the last five years. Market vacancy for comparable Mixed-Use product stands at 13.8%, down from 5.1% two years ago. The property is walkable to transit, with 14 structured parking spaces shared between uses. Employment growth is led by healthcare, logistics, education and professional services sectors.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 7.7 acres and is generally level with frontage along Quarry Lane. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 37 curb cuts and the property is served by municipal water and sanitary sewer.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 48 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Submarket Analysis

Market vacancy for comparable Mixed-Use product stands at 12.7%, down from 4.3% two years ago. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Rent growth in the submarket has averaged 6.6% annually over the past 9 years. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Median household income within a 2-mile radius of the property is approximately $192,000 and has grown 12.4% annually. The property is walkable to transit, with 36 structured parking spaces shared between uses. Employment growth is led by healthcare, logistics, education and professional services sectors.

Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 15 curb cuts and the property is served by municipal water and sanitary sewer.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 38 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 7.7 acres and is generally level with frontage along Quarry Lane.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Westgate Station District and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on October 30, 2022.

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Susan Okafor, CPG

Calloway & Reid Valuation Group

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